

Jagdish Kumar vs Jaan Mohd on 11 December, 2024

IN THE COURT OF MS. SHEETAL CHAUDHARY PRADHAN
ADDL. SESSIONS JUDGE-02 : SOUTH EAST DISTRICT
SAKET COURT : NEW DELHI

Criminal Appeal No. 137/2024
PS Lodhi Colony
U/Sec. 138 NI Act

Jagdish Kumar
S/o Sh. Harilal
R/o H. No. 58-C, Sector 91,
Surya Vihar, Faridabad, Haryana

.... Appellant

Versus

Jaan Mohammd
S/o Shri Haddu Khan
R/o H.No.L-77/2657, Sangam Vihar,
Pushpa Bhawan, New Delhi

.... Respondent

Date of Institution	:	20.04.2024
Date of Arguments	:	30.11.2024
Date of Judgment	:	11.12.2024
Decision	:	Appeal Dismissed. Impugned judgment and order on sentence of the Ld. Trial Court, upheld.

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JUDGMENT

1. Appellant Jagdish Kumar has filed present appeal thereby challenging the impugned Judgment dated 21.12.2023 and Order on Sentence dated 16.03.2024 passed by Ld. Trial Court in complaint

case bearing CT Case No. 7607/2017 title "Jaan Mohd. Vs. Jagdish Kumar". Vide impugned order on sentence, appellant was convicted to undergo one month simple imprisonment with fine equivalent to cheque amount of Rs. 2,50,000/- alongwith simple interest @ 6% p.a. from the date of filing of the complaint till the date of judgment. Further, that the fine imposed shall be given to the complainant as compensation U/Sec. 357 Cr.P.C. and in default of payment of aforesaid compensation convict shall further undergo SI for a period of one month.

2. Appellant herein was accused before Ld. Trial Court and respondent herein was complainant before Ld. Trial Court. In order to avoid confusion, parties will be referred with the same nomenclature with which they were referred before Ld. Trial Court, in my subsequent paragraphs.

3. Briefly, the case of complainant is that :-

"The complainant is engaged in the business of selling vegetables and the accused is running a general store. The shop of the accused is situated at about 300-500 meters from the stall of the complainant and they were having cordial CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 2 of 28 SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.11 16:31:57 +0530 relations. Further, accused had approached the complainant in the month of October, 2016 for friendly loan of Rs. 7,50,000/- with an assurance to repay the same on or before 31.01.2017. Thereafter, both the parties also entered into an agreement dated 13.10.2016 in the presence of two persons from locality namely Bandhu Yadav and Chandra Bhan Gupta. Accordingly, the complainant gave friendly loan of Rs. 7,50,000/- in cash to the accused on 13.10.2016 and in lieu thereof, the accused had issued a cheque bearing no. 629526 dated 31.12.2016 for a sum of Rs. 2,50,000/-. Thereafter, the complainant returned the said cheque bearing no. 629526 to accused at the request of accused, and accused accordingly issued another cheque bearing no. 629527 dated 31.03.2017 for an amount of Rs 2,50,000/- drawn on Corporation Bank, Lodhi Complex Branch as part payment towards loan. Upon presentation, said cheque was returned on 07.04.2017 with the reason 'funds insufficient'. On assurance of accused, said cheque was again presented on 16.05.2017, which was again returned unpaid with the remarks "funds insufficient" vide CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 3 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:32:02 +0530 returning memo dated 17.05.2017. Thereafter, the complainant sent legal notice dated 29.05.2017. However, despite receiving of the said Notice, accused failed to pay the said amount within stipulated period. Hence, the complaint U/Sec. 138 NI Act has been filed."

4. After filing of complaint, Ld. Trial Court vide order dated 25.07.2019 took the cognizance of offence and recorded pre-summoning evidence, based on which, accused was summoned. On 28.09.2022, accused was admitted to bail and Notice u/sec. 251 Cr.P.C was framed to which, he pleaded not guilty and claimed trial. During, the framing of notice accused admitted his signatures

on the cheque, but denied to have issued the cheque to the complainant and that he had not received any legal demand notice from the complainant. He further, stated that the complainant and he were the partners in the business of fruits and vegetables and their shop were located nearby. He had not given the cheque in question to the complainant and since the complainant used to visit and sit at his shop, he must have taken these cheques out of his possession and he had misused the same for filing the case against him.

5. In his evidence, complainant examined himself as CW1 and relied upon his complaint, in which he had mentioned regarding transaction between him and the accused. Same are not repeated here for the sake of CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 4 of 28 SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.11 16:32:06 +0530 brevity. He relied upon documents viz. Agreement dated 13.10.2016 as Ex.CW1/A, original dishonoured cheque bearing no.629527 amounting Rs.2,50,000 dated 31.03.2017 drawn on Corporation Bank Lodhi Complex Branch, New Delhi Ex.CW1/B, cheque return memo dated 07.04.2017 & 17.05.2017 Ex. CW1/C & Ex.CW1/D, legal notice dated 29.05.2017 Ex.CW1/E, photocopies of speed post receipts Ex.CW1/F and Ex.CW1/G, online tracking report Ex.CW1/H & Ex.CW1/I.

6. In support of his case, complainant apart from him had also examined one more witness i.e. CW2 Mr. Chandrabhan Gupta who tendered his evidence by affidavit Ex.CW2/A and relied upon document already Ex.CW1/E. In the affidavit Ex.CW2/A the witness had stated that he was known to both the parties and therefore, became a witness to the agreement Ex.CW1/A and that an amount of Rs.7.5 Lakh was given to accused Jagdish Kumar by complainant Jaan Mohd in cash in his presence, and also that accused Jagdish Kumar issued a cheque of Rs.2.5 Lakhs towards the part payment of the loan for the sanctification of complainant Jaan Mohd. And that two cheques were handed over to the complainant in his presence and that he had signed on the agreement Ex. CW1/A without any undue influence or coercion and that the loan amount was given to accused Jagdish Kumar as friendly loan and the same was completely interest free.

7. During cross examination, CW2 deposed that he was known to the complainant and the accused for 15 years and that the agreement was executed 6-7 years ago. When the agreement was executed the complainant was having a small stall at CGO complex and used to sell vegetables. The loan was

taken a friendly loan and he had signed the agreement at Patiala House Court and all the documents in respect of the agreement were executed at Patiala House Court. Further, that the cheque of Rs.2.5 Lakhs which was handed over to the complainant and accused assured for some more time to repay the amount. He further deposed that he did not understand the contents of evidence affidavit signed by him but the same was attested at Patiala House Court. Further, he was informed by his Advocate that the evidence by way of affidavit contains the details of the transaction regarding the case. He did not know the earnings of the complainant and denied all suggestions put to him.

8. Thereafter, complainant evidence was closed on 22.05.2023 and statement of the accused U/Sec. 313 CrPC was recorded on 26.08.2023. During the aforesaid statement, accused denied that he had taken any friendly loan from complainant and had also denied that no agreement was prepared to this effect and he had not given any cheque to complainant and he did not owe any liability to the complainant. He also pleaded innocence and that complainant used to visit his shop regularly and complainant asked him to enter to a partnership as he had some space in front of his shop as complainant used to work as a vegetable vendor. He asked CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 6 of 28 SHEETAL CHAUDHARY CHAUDHARY Date:

2024.12.11 16:32:15 +0530 complainant to wait for sometime as his mother was severely ill. He did not know when the complainant took away his cheques from his shop as he used to keep his blank signed cheques in the shop and complainant had taken his cheques behind his back when he used to visit his mother and he has been falsely implicated in the present case.

9. Accused led defence evidence and examined DW1 Bandhu Yadav. He deposed that he was common friend to both the parties for many years. He had signed the agreement dated 13.10.2016 but at that time there was signature on the agreement. The agreement was signed by him at his shop and he had not gone anywhere to sign before the notary. Complainant Jaan Mohd had not given any loan to accused Jagdish Kumar.

10. Subsequently, DE was closed and matter was fixed for final arguments before the trial court. Vide impugned judgment dated 21.12.2023 accused Jagdish Kumar was convicted and vide order on sentence dated 16.03.2024 accused was directed to pay a fine of Rs. 2.5 Lakhs to the complainant, apart from other sentence awarded by the Ld. Trial Court.

11. Aggrieved from the impugned judgment and order on sentence, appellant/ accused has preferred the present appeal and has taken following grounds to challenge impugned judgment & order on sentence :-

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i) That Ld. Trial Court did not appreciate the facts and evidence brought on record by the parties correctly. That the Ld. Trial Court did not consider that there is no legal evidence in the instant case against the appellant/accused justifying his conviction.

ii) That learned trial court did not consider that the respondent case suffers from serious infirmities and possibility of cooking up a story and recording of statement of PW1 after deliberations cannot be ruled out.

iii) That Ld. Trial Court did not consider that the entire testimony of complainant/respondent has been demolished through contradictions on material points which renders their testimony unbelievable and untrustworthy. The trial court did not appreciate the probable defense of the appellant/accused that at the time of taken the loan he signed blank cheques, issued to the respondent/complainant and the same was misused by the respondent/complainant.

iv) That Ld. Trial Court did not consider that when the case filed by the respondent, it was out of limitation.

v) That Ld. Trial Court did not consider that cross examination of complainant done by accused.

vi) Further, that neither the proper address nor name was mentioned, therefore, it is clear that no Notice was received by the accused.

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vii) That Ld. Trial Court did not consider the fact that Respondent was not properly tendered his evidence by way of affidavit and due to this reason technically it cannot be readable in this case.

viii) That Ld. Trial Court did not consider that agreement was notarized and it was attested on 14.10.2016 and not on 13.10.2016 and affidavit bears the stamp of oath commissioner of Hon'ble High Court and it was not attested in Patiala House Court. The document was not proved by respondent in his entire cross examination and attesting witness was not support the respondent/complainant story also. That document was not proved by respondent in his entire cross examination and the attested witnesses was not supported the respondent/complainant story.

ix) That Ld. Trial Court did not consider the statement U/Sec. 313 Cr.P.C. of the appellant. That the impugned judgment is liable to be set aside as the burden of proof is different from the complainant and the accused where the complainant has to

prove his case beyond reasonable doubt, the accused has to only prove his defense by leading probable evidence. It is submitted that in the present case that the appellant clearly proved his defense and rebutted presumption raised against him under section 139 N.I. Act.

x) That the story of complainant is manipulated. The respondent himself filled up the amount of Rs.2,50,000/- in the blank signed cheque and trying to justify his story with the help of forged and fabricated documents and forged witness.

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ix) That complainant failed to explain when the cheques in question were handed over to him and who filled the same which further proves the misuse of the cheques. Complainant witness Sh. Chandrabhan Gupta is not a reliable witness and no conviction can be based on his testimony. In such circumstances, complainant himself failed to prove his case without any doubt and therefore no presumption can be drawn against the accused.

12. In addition to aforesaid grounds of appeal, Ld. Counsel for appellant/ accused has argued that Ld. Trial Court did not appreciate the falsity in the claim of complainant and the impugned judgment and order on sentence are based on conjectures and surmises. The judgment passed by Ld. Magistrate is bad in the eyes of law and is liable to be set aside because the complainant, on the basis of the entire material available on record, has not been able to prove and establish all the ingredients of the offence and could not make out a prima facie case against the accused beyond all reasonable doubts in terms of Section 138 of NI Act. It has also been argued on behalf of the accused that even the evidence by way of affidavit has not been exhibited before the court and it is only his complaint which was exhibited and therefore, the same cannot be read against the accused. That impugned judgment and order on sentence passed by Ld. Trial Court has suffered from grave irregularity and illegality, therefore, it is prayed that impugned judgment and order on sentence be set aside.

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13. Per contra, Ld. Counsel for complainant/ respondent has argued that the order passed by Ld. Trial Court is legal and correct. Further, it has been argued that the complainant have properly proved the evidence to support its case. It is further argued that presumption as stated u/sec. 118 and 119 of the NI Act, 1881, is against the accused and therefore, the conviction of accused be upheld. Ld. Counsel for complainant has further argued that the signatures on the cheques in question, are not disputed and were issued to repay the due amount to the complainant. It has been argued that complainant had discharged the onus by leading evidence. Therefore, impugned judgment does not require any interference and is liable to be upheld.

14. I have heard Ld. Counsel for accused/ appellant, Ld. Counsel for complainant/ respondent and have carefully gone through the record.

15. In order to appreciate and decide the present appeal, Section 118 (a) and Section 139 of NI Act are mentioned in verbatim below :-

"Section 118 : Presumptions as to negotiable instruments,- Until the contrary is proved, the following presumptions shall be made:-

(a) of consideration - that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted indorsed, negotiated or transferred, was accepted, was indorsed, negotiated or transferred for consideration;"

CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 11 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:32:33 +0530 "Section 139 : Presumption in favour of holder - It shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability."

16. Further, I find it relevant to mention here law with respect to the presumptions U/s. 118 (a) and 139 NI Act. The said interpretations given by higher echelon of Judiciary, are relevant and mentioned below :-

"138 Dishonour of cheque for insufficiency, etc., of funds in the account,- Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provisions of this Act, be punished with imprisonment for (a term which may be extended to two years), or with fine which may extend to twice the amount of the cheque, or with both: Provided that nothing contained in this section shall apply unless-

(a) the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

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(b) the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, (within thirty days) of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and

(c) the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder in due course of cheque, within fifteen days of receipt of said notice."

17. Hon'ble Apex Court had the occasion to appreciate and interpret aforesaid provisions in case titled as Kusum Ingots and Alloys Ltd. Vs. Pennar Peterson Securities Ltd. (2000) 2 SCC 745 and observed that in order to successfully prosecute the drawer of a cheque for an offence U/s. 138 NI Act, following facts are required to be proved successfully.

a) A person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account for discharge of any debt or liability.

b) That cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier.

c) That cheque is returned by the bank unpaid, either because the amount of money standing to the credit of the account is insufficient to honour cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank.

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d) The payee or the holder in the due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing to the drawer of the cheque, within 15 days of the receipt of the information by him from the bank regarding the return of the cheque as unpaid.

e) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of said notice....."

".....Judicial statements have deferred as to the quantum of rebutting evidence required. In Kundun Lal Rallaram Vs. Custodian, Evacuee Property, Bombay AIR 1961 SC 1316, this Court held that the presumption of law under Section 118 of presumption of fact raised under Section 114 of the Evidence Act. The decision must be limited to the facts of that case. The more authoritative view has been laid down in

the subsequent decision of the Constitution Bench in *Dhanvantrai Balwantrai Desai v. State of Maharashtra* : 1964 Cri. L 1437 : 1964 Cril 1437, where this Court reiterated the principle enunciated in *State of Madras v. Vaidyanath Iyer* (supra) and clarified that the distinction between the two kinds of presumption lay not only in the mandate to the Court, but also in the nature of evidence required to rebut the two. In the case of a discretionary presumption the presumption if drawn may be rebutted by an explanation which "might reasonably be true and which is consistent with the innocence" of accused. On the other hand in the case of mandatory presumption "the burden resting on the accused person in such a case would not be as light as it is where a presumption is raised under S.114 of the Evidence act and cannot be held to be discharged merely by reason of the fact CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 14 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:32:44 +0530 that the explanation offered by the accused is reasonable and probable. It must further be shown that the explanation is a true one. The words 'unless the contrary is proved' which occur in this provision make it clear that the presumption has to be rebutted by 'proof' and not by a bare explanation which is merely plausible. A fact is said to be proved when its existence is directly established or when upon the material before it the court finds its existence to be so probable that a reasonable man would act on the supposition that it exists. Unless, therefore, the explanation is supported by proof, the presumption created by provision cannot be said to be rebutted..."

18. It is a well settled legal position that presumptions U/s. 118 and 139 NI Act are rebuttable presumptions and burden lies on accused to prove that he had no liability/debt on the date of issue of cheque. It is also a settled principle of law that to bring home an offence under any of the penal provisions, it is essential to prove the case beyond reasonable doubt and ingredients of offence should be satisfied. Hon'ble Apex Court had the occasion to appreciate said provisions in certain case laws which are relevant for the purpose of adjudication of appeal. Relevant observations of said case laws are mentioned in my subsequent paragraphs.

19. In case titled as *M.S.Narayana Menon Vs. State of Kerala* 6 SCC 39 it was held that ;

"While dealing with that aspect in a case under Section 138 of the Negotiable Instruments Act, 1881, this court held that presumptions under sections 118 (a) and 139 of the Act are rebuttable and the standard of CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 15 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:32:48 +0530 proof required for such rebuttal is preponderance of probabilities and not proof beyond reasonable doubt. The Court observed:

In terms of section 4 of the Evidence Act whenever it is provided by the Act that the court shall presume a fact, it shall regard such fact as proved unless and until it is disproved. The words "proved" and "disproved"

have been defined in section 3 of the Evidence Act (the interpretation clause).

Applying the said definitions of "proved or "disproved" to the principle behind section 118 (a) of the Act, the court shall presume a negotiable instrument to be for consideration unless and until after considering the matter before it, it either believes that the consideration does not exist or considers the non-existence of the consideration so probable that a prudent man ought, under the circumstances of the particular case, to act upon the supposition that the consideration does not exist. For rebutting such presumption, what is needed is to raise a probable defence. Even for the said purpose, the evidence adduced on behalf of the complainant could be relied upon.

The standard of proof evidently is preponderance of probabilities. Inference of preponderance of probabilities can be drawn not only from the materials on record but also by reference to the circumstances upon which the relies.

Therefore, the rebuttal does not have to be conclusively established but such evidence must be adduced before the court in support of the defence to exist or consider its existence to be reasonable probable, the standard of reasonability being that of the "prudent man".

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20. Further, in Bharat Barrel and Drum Manufacturing Company Vs. Amin Chand Pyarelal (1999) 3 SCC 35 it was observed as under:-

"Upon consideration of various judgments as noted hereinabove, the position of law which emerges is that once execution of the promissory note is admitted, the presumption under Section 118(a) would arise that it is supported by a consideration. Such a presumption is rebuttable. The defendant can prove the non-existence of a consideration by raising a probable defence. If the defendant is proved to have discharged the initial onus of proof showing that the existence of consideration was improbable or doubtful or the same was illegal, the onus would shift to the plaintiff who will be obliged to prove it as a matter of fact and upon its failure to prove would disentitle him to the grant of relief on the basis of the negotiable instrument. The burden upon the defendant of proving the non- existence of consideration can be either direct or by bringing on record the preponderance of probabilities by reference to the circumstances upon which he relies. In such an event, the plaintiff is entitled under law to rely upon all the evidence led in the case including that of the plaintiff as well. In case, where the defendant fails to discharge the initial onus of proof by showing the non-existence of the consideration, the plaintiff would invariably be held entitled to the benefit of presumption arising under Section 118(a) in his favour. The court may not insist upon the defendant to disprove the existence of consideration by leading direct evidence as the existence of negative evidence is neither possible nor

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2024.12.11 16:32:57 +0530 contemplated and even if led, is to be seen with a doubt. The bare denial of the passing of the consideration apparently does not appear to be any defence. Something which is probable has to be brought on record for getting the benefit of shifting the onus of proving to the plaintiff. To disprove the presumption, the defendant has to bring on record such facts and circumstances upon consideration of which the court may either believe that the consideration did not exist or its non-existence was so probable that a prudent man would, under the circumstances of the case, shall act upon the plea that it did not exist."

"Section 139 of the Act is an example of reverse onus clause that has been included in furtherance of the legislative objective of improving the credibility of negotiable instruments. While Section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheques, the rebuttable presumption under Section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by Section 138 can be better described as a regulatory offence since the bouncing of a cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in commercial transactions."

"In the absence of compelling justification, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is settled position that when an accused has to rebut the CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 18 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:33:01 +0530 "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in citations, the accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of his/her own."

21. The net result in the light of above dictum is that complainant in a case filed U/Sec. 138 NI Act has to prove the ingredients of said provision, beyond reasonable doubt. The presumptions U/Sec. 118 (a) and 139 NI Act do favour the complainant but those presumptions are rebuttable. Accused can rebut those presumptions based on preponderance of probabilities. It is not required that in each and every case accused has to lead defence evidence for rebutting aforesaid presumptions. Accused can rebut the aforesaid presumptions on the basis of material brought on record by complainant.

22. Keeping in mind above mentioned law and understanding of law, I am proceeding further with the case in hand.

23. So far as question of leading evidence and liability or debt towards the cheque in question, is concerned, in the case law titled as K.N. Beena Vs. Muniyappan & Anr. Appeal (Crl.) 1066 of 2001, Spl. Leave Petition (Crl) No. 969/2001 decided on 18.10.2001 by Hon'ble Apex Court, it has been

held that :-

CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 19 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:33:05 +0530 In our view the impugned Judgment cannot be sustained at all. The Judgment erroneously proceeds on the basis that the burden of proving consideration for a dishonored cheque is on the complainant. It appears that the learned Judge had lost sight of Sections 118 and 139 of the Negotiable Instruments Act. Under Sections 118, unless the contrary was proved, it is to be presumed that the Negotiable Instrument (including a cheque) had been made or drawn for consideration. Under Section 139 the Court has to presume, unless the contrary was proved, that the holder of the cheque received the cheque for discharge, in whole or in part, of a debt or liability. Thus in complaints under Section 138, the Court has to presume that the cheque had been issued for a debt or liability. This presumption is rebuttable. However the burden of proving that a cheque had not been issued for a debt or liability is on the accused. This Court in the case of Hiten P. Dalal vs. Bratindranath Banerjee reported in (2001) 6 S.C.C. 16 has also taken an identical view.

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24. Reverting back to the facts of the present case, I find that case of complainant was simple. He claimed that he had given friendly loan to accused to the tune of Rs. 7,50,000/- in cash, and for part payment of the same, cheque in question amount to Rs. 2,50,000/- was issued by the accused. So, as per complainant for discharging his liability for part payment of loan amount, cheque in question was issued by accused and since it was dishonoured, so offence punishable u/sec. 138 NI Act, was committed by accused.

25. Per contra, accused claimed that complainant used to visit his shop and he took away the cheque in question from his shop behind his back. It has further been claimed that it was filled by complainant himself only and also that no agreement was made and he had not given any cheque to complainant and he did not owe any liability towards the complainant.

26. Perusal of the record shows that during cross-examination of complainant, he was asked several questions to the witness and no suggestion was given to him that the cheque in question does not bear the signature of the accused and therefore, it was an admitted case that cheque in question bears the signature of accused. Further, it is claimed by complainant that earlier also, the accused towards the loan agreement had issued a cheque bearing no. 629526 dated 31.12.2016 for an amount of Rs. 2,50,000/- but the said claim of complainant was never questioned by accused by putting any suggestion or leading evidence in this regard. It created doubt on the veracity of the defence of accused.

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27. Whether there was any loan transaction between the parties or not and whether there was any legally recoverable debt or not, is the subject- matter which can be ascertained in the light of entire case led by the parties. It is the case of accused that the complainant had not given any loan to the complainant and he used to keep signed cheques in his shop from where cheque in question was taken away by complainant at his back, whereas the evidence which has come on record, clearly establishes that the complainant had friendly relations with the accused and frequently used to visit the shop of accused.

28. In this regard, it is pertinent to mention here that accused never disclosed the date, time and place when he came to know that the cheque in question was taken away by the complainant at his back. Further, being a prudent person, at the point of time of knowledge in this regard, accused should have lodged a complaint or FIR or should have taken the legal recourse against the complainant, which he failed to do so even after getting the knowledge regarding the same. The said defence was also rightly rejected by Ld. Trial Court vide its impugned judgment after considering the evidence adduced by the complainant.

29. During cross-examination of complainant CW1, suggestion was never given to the complainant that the signature of the witnesses or the accused were forged on the agreement Ex.CW1/A, rather the accused during his cross-examination admitted his signature on the cheque in question i.e. Ex.CW1/B. CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 22 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:33:18 +0530

30. On the other hand, to substantiate the contents of complaint, complainant proved the document Ex.CW1/A which was the agreement signed between the parties and examined witness i.e. CW2- Chanderbhan Gupta. CW2 deposed that he was the witness to the aforesaid agreement and all the documents were executed at Patiala House Courts and at that time, complainant, accused and CW2 were present there and he had signed the same. He deposed in favour of the complainant and despite cross- examination on whole aspects of this case, no contradictions were pointed out on behalf of accused/ appellant.

31. Further, during cross-examination of CW1/ complainant, the suggestion was given by the accused to CW1 that "It is correct that at the time of taking the loan, an agreement was prepared and all witnesses including me and the accused signed on the same day. It is correct that that agreement

was executed at Patiala House Courts." The said suggestions put by accused itself corroborated the deposition of CW2 and the CW1/ complainant and supported the case of the complainant. I believed the testimony of CW2.

32. On the other hand, during cross examination of DW1, he deposed that he had not asked complainant as to why there was no signature on the agreement and he had signed the agreement without any coercion or any undue influence. Further that he had friendly relations with the complainant as he had also borrowed around 2-4 Lakhs from the complainant. He did not know if any cheques were given by the accused to the complainant. He refuted all the suggestions put to him.

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33. Perusal of the record shows that on one hand, accused has claimed that no agreement was executed between the parties but on the other hand, witness who was brought by the accused in the witness box, has himself admitted that he had signed the agreement dated 13.10.2016 as he was a common friend of both the parties. Therefore, the veracity of execution of aforesaid agreement between the parties cannot be doubted in the absence of any cogent ground. I believed the testimony of CW2 and testimony of DW1 is of no help to the cause of accused being inconsequential.

34. During the Notice u/sec. 251 CrPC, accused has admitted his signature on the cheque in question. Therefore, the accused had not disputed his signature on the cheque but had merely taken the ground that complainant had himself filled up the amount of Rs. 2,50,000/- in the blank signed cheque. Further, the during the cross-examination CW1 has deposed that "It is correct that that all the particulars in the cheque were filled by the accused in front of all witnesses and me". Merely by raising the contention at the time of appeal by showing ignorance as to who had filled the cheque, would not absolve him from his liability arising from the cheque. Section 20 of the Negotiable Instruments Act draws a presumption in favour of the holder of the cheque. Further, once the accused admitted his signature on the cheque and the agreement, the trial court has to presume that the cheque was issued as consideration for a legally enforceable debt. Reliance in this regard is placed upon the case law titled as Kalamani Tex & Anr. Vs. P. Balasubramanian (2021) 5 SCC 283 .

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35. So far as the question of misusing the cheque in question, where the accused has failed to satisfactorily explain the circumstances under which the cheque was issued by the accused or misused by the complainant, then it can be safely inferred/ presumed that the cheque was issued in discharge of legally recoverable debt/liability.

36. Further, the claim of accused that the evidence by way of affidavit was not tendered by the complainant as per law and therefore, it cannot read in defence.

37. In this case, as per the higher echelon of judiciary, the objection should have taken when the document of affidavit was tendered and before it was admitted/ tendered in evidence and exhibited. Failure to raise a prompt and timely objection amounts to waiver of the necessity for insisting on formal proof of the document, which is sought to be produced or marked, the document by itself being otherwise admissible in evidence. Once the document is admitted in evidence and is used in cross- examination, the document gets proved and can be read in evidence. The courts have evolved the practice of marking of exhibits while recording evidence, as a matter of convenience and for ease of identification. The expression "exhibit" is not defined in the Code of Civil Procedure, 1908. The Code of Civil Procedure, 1908, contemplates admission and rejection CA No. 137/2024 Jagdish Kumar Vs. Jaan Mohd. Page No. 25 of 28 SHEETAL CHAUDHARY CHAUDHARY Date: 2024.12.11 16:33:34 +0530 of documents in evidence and the due endorsements to be made thereon by the court. When the documents are tendered or produced in evidence by a party and the court admits the documents in evidence, it becomes a part of the judicial record of the case and constitutes evidence;

38. Further, careful perusal of affidavit which was tendered by complainant in evidence reveals that it was nothing but was the reproduction of the contents of his complaint which has never prejudiced the case of accused.

39. Further, the complainant examined himself as CW1. His examination-in-chief was based on his affidavit, in which he deposed facts, in tune with his case. Complainant was cross-examined by accused but he did not put any questions to the complainant to derail his story or by which the veracity of complainant could be doubted. Further, the signatures on the cheques in question are not disputed. So, the probable defence of accused was not put to complainant for checking its veracity. The suggestions of deposing falsely, was refuted by complainant. Even otherwise, accused did not develop his case, based on said suggestions. He has also failed to bring any evidence in support of his version/ case which can thrash the case of complainant.

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40. So, the net result is that, accused did not put his specific case to complainant by way of suggestions or by way of putting questions, based on that case. While cross-examining complainant, accused failed to rebut the case of complainant and presumptions u/sec. 118/139 NI Act. There was nothing unreasonable and improbable about the conduct, demeanor and facts deposed by complainant, in his testimony. I believed the testimony of complainant, to be trustworthy and reliable.

41. The defence taken by accused was of no consequence to the cause of accused. So, accused failed to probablize his defence based on preponderance of probabilities. The defence raised by the accused before this Appellate Court, have already been dealt and rightly considered by Ld. Trial Court in its impugned judgment. Therefore, in my considered view, the defence raised by accused does not inspire confidence or meet the standard of 'preponderance of probabilities'.

42. The grounds of appeal as such, are vague in nature. In the absence of any relevant material, accused failed to highlight any shortcoming in the reasoning given by Ld. Trial Court in impugned judgment of conviction, based on facts and law. The complainant was able to adduce sufficient evidence that he was in a position to advance the loan amount in question. Therefore, accused had filed present appeal, just for the sake of it. Same did not help his cause.

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43. Therefore, in my considered view, there is no merit in the present appeal filed by the accused/appellant and the same stands dismissed. Impugned judgment dated 21.12.2023 and Order on Sentence dated 16.03.2024, passed by Ld. Trial Court, stands upheld.

File be consigned to Record Room after due compliance.

Announced in the Open Court
Today

SHEETAL

CHAUDHARY Date: 2024.12.11

[Sheetal Chaudhary Pradhan]
ASJ-02, South-East/Saket/Delhi
11.12.2024

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